

Discussion of *Unequal Decoupling* by de Ferra et al.

Cristiano Cantore¹

¹Sapienza University of Rome

LUISS MacroDyn Workshop 2025

Summary

- ▶ Quantify the long-run welfare and distributional consequences of geopolitical fragmentation
- ▶ Identify who gains and who loses once global capital markets decouple

Summary

- ▶ Quantify the long-run welfare and distributional consequences of geopolitical fragmentation
 - ▶ Identify who gains and who loses once global capital markets decouple
- across and within countries

Summary

- ▶ Quantify the long-run welfare and distributional consequences of geopolitical fragmentation
 - ▶ Identify **who gains and who loses** once global capital markets decouple
- across and within countries*

Approach

- ▶ A **world heterogeneous-agent neoclassical model** with a focus on **steady states and transition dynamics**
- ▶ Calibrated to:
 - * higher-order income risk moments (GRID),
 - * wealth inequality,
 - * country size and net foreign asset positions.

Summary

- ▶ Quantify the long-run welfare and distributional consequences of geopolitical fragmentation
 - ▶ Identify who gains and who loses once global capital markets decouple
- across and within countries*

Approach

- ▶ A **world heterogeneous-agent neoclassical model** with a focus on steady states and transition dynamics
- ▶ Calibrated to:
 - * higher-order income risk moments (GRID),
 - * wealth inequality,
 - * country size and net foreign asset positions.

Results

- ▶ Geopolitical fragmentation operates through:
 - * changes in the real interest rate,
 - * reallocation of capital across countries,
 - * redistribution between workers and asset holders within countries.

Summary

- ▶ Quantify the long-run welfare and distributional consequences of geopolitical fragmentation
 - ▶ Identify who gains and who loses once global capital markets decouple
- across and within countries*

Approach

- ▶ A **world heterogeneous-agent neoclassical model** with a focus on steady states and transition dynamics
- ▶ Calibrated to:
 - * higher-order income risk moments (GRID),
 - * wealth inequality,
 - * country size and net foreign asset positions.

Results

- ▶ Geopolitical fragmentation operates through:
 - * changes in the real interest rate,
 - * reallocation of capital across countries,
 - * redistribution between workers and asset holders within countries.
- ▶ Steady states display strong distributional asymmetries
- ▶ (Speed of) **Transition dynamics are crucial**: welfare effects can be amplified or reversed

My take

My take

- ▶ The key insight is not the direction of capital flows, but the **distributional incidence** of fragmentation
- ▶ Transition dynamics are first-order: welfare depends on **how** and **how fast** fragmentation unfolds

My take

- ▶ The key insight is not the direction of capital flows, but the **distributional incidence** of fragmentation
- ▶ Transition dynamics are first-order: welfare depends on **how** and **how fast** fragmentation unfolds
- ▶ **Contribution:**
 - * Introduces realistic income risk and wealth inequality into a **global framework** + transition dynamics
 - * Shows that geopolitical fragmentation generates large and uneven welfare effects *within* countries

My take

- ▶ The key insight is not the direction of capital flows, but the **distributional incidence** of fragmentation
- ▶ Transition dynamics are first-order: welfare depends on **how** and **how fast** fragmentation unfolds
- ▶ **Contribution:**
 - * Introduces realistic income risk and wealth inequality into a **global framework** + transition dynamics
 - * Shows that geopolitical fragmentation generates large and uneven welfare effects *within* countries
- ▶ **My comments:**
 1. Income risk: gross vs disposable, and the role of fiscal redistribution

My take

- ▶ The key insight is not the direction of capital flows, but the **distributional incidence** of fragmentation
- ▶ Transition dynamics are first-order: welfare depends on **how** and **how fast** fragmentation unfolds
- ▶ **Contribution:**
 - * Introduces realistic income risk and wealth inequality into a **global framework** + transition dynamics
 - * Shows that geopolitical fragmentation generates large and uneven welfare effects *within* countries
- ▶ **My comments:**
 1. Income risk: gross vs disposable, and the role of fiscal redistribution
 2. Real vs Nominal Channels

My take

- ▶ The key insight is not the direction of capital flows, but the **distributional incidence** of fragmentation
- ▶ Transition dynamics are first-order: welfare depends on **how** and **how fast** fragmentation unfolds
- ▶ **Contribution:**
 - * Introduces realistic income risk and wealth inequality into a **global framework** + transition dynamics
 - * Shows that geopolitical fragmentation generates large and uneven welfare effects *within* countries
- ▶ **My comments:**
 1. Income risk: gross vs disposable, and the role of fiscal redistribution
 2. Real vs Nominal Channels
 3. Minor comments about modelling assumptions and calibration

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using gross labor income dynamics from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using gross labor income dynamics from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

A measurement caveat

- ▶ Recent literature shows that **taxes and transfers substantially reshape income risk**

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using gross labor income dynamics from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

A measurement caveat

- ▶ Recent literature  shows that **taxes and transfers substantially reshape income risk**

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using gross labor income dynamics from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

A measurement caveat

- ▶ Recent literature shows that **taxes and transfers substantially reshape income risk**
 - * disposable income volatility and downside risk are much lower,

→ Bilbiie et al. (2023)
→ Bilbiie et al. (2025): mapping to C risk

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using gross labor income dynamics from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

A measurement caveat

- ▶ Recent literature shows that **taxes and transfers substantially reshape income risk**
 - * disposable income volatility and downside risk are much lower,
 - * cross-country differences are likely to be affected by fiscal redistribution,

→ Bilbiie et al. (2023)
→ Bilbiie et al. (2025): mapping to C risk

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using gross labor income dynamics from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

A measurement caveat

- ▶ Recent literature shows that **taxes and transfers substantially reshape income risk**
 - * disposable income volatility and downside risk are much lower,
 - * cross-country differences are likely to be affected by fiscal redistribution,
 - * especially for tail risk

→ Bilbiie et al. (2023)

→ Bilbiie et al. (2025): mapping to C risk

→ Bergholt et al. (2025): left tail & redistribution

Comment 1: Income risk (gross vs disposable)

Income risk as a key primitive

- ▶ The paper disciplines cross-country heterogeneity using **gross labor income dynamics** from GRID
 - * Higher-order moments (volatility, skewness, kurtosis)
 - * Short- vs long-horizon income risk
- ▶ This heterogeneity is central for:
 - * precautionary saving,
 - * wealth accumulation,
 - * cross-country NFA positions.

A measurement caveat

- ▶ Recent **literature** shows that **taxes and transfers substantially reshape income risk**
 - * disposable income volatility and downside risk are much lower,
 - * cross-country differences are likely to be affected by fiscal redistribution,
 - * especially for tail risk
- ▶ Harmonized cross-country data on **disposable income dynamics** are available only for few countries

→ Bilbiie et al. (2023)

→ Bilbiie et al. (2025): mapping to C risk

→ Bergholt et al. (2025): left tail ≠ redistribution

Comment 1: Implications and extension

Interpretation of current results

- ▶ Does the strong cross-country heterogeneity in income risk moments ▶ Figure 2
 - * survive once income is measured **net of taxes and transfers**?
- ▶ Would the positive correlation between income volatility and wealth inequality ▶ Figure 3a
 - * weaken when using disposable income?
- ▶ If fiscal systems provide different degrees of insurance,
 - * precautionary saving incentives may be **overstated** when based on gross income alone

Comment 1: Implications and extension

Interpretation of current results

- ▶ Does the strong cross-country heterogeneity in income risk moments ▶ Figure 2
 - * survive once income is measured **net of taxes and transfers**?
- ▶ Would the positive correlation between income volatility and wealth inequality ▶ Figure 3a
 - * weaken when using disposable income?
- ▶ If fiscal systems provide different degrees of insurance,
 - * precautionary saving incentives may be **overstated** when based on gross income alone

Extension

- ▶ Introduce **progressive taxation / transfers** calibrated to country-specific fiscal systems
- ▶ Use the model to study the implications of redistribution on the results.

Comment 2: Real vs Nominal Channels

- ▶ The model abstracts from:
 - * nominal rigidities,
 - * monetary policy,
 - * exchange rates and terms of trade.

Comment 2: Real vs Nominal Channels

- ▶ The model abstracts from:
 - * nominal rigidities,
 - * monetary policy,
 - * exchange rates and terms of trade.
- ▶ This is fully consistent with the paper's focus on:
 - * long-run welfare effects,
 - * transitions across steady states,
 - * real reallocations of capital and wealth.

Comment 2: What would change with nominal channels?

New margins opened by nominal rigidities

► Terms of trade and exchange rates

- * Fragmentation shocks could operate through expenditure switching
- * Relative price adjustment may amplify or dampen real reallocations

► Heterogeneous monetary policy

- * Short- and medium-run real rates depend on inflation and policy rules
- * Interaction between monetary policy and the world interest rate

► Supply of nominal safe assets

- * Role of government bonds and currency denomination
- * Links to global demand for safe assets

Comment 2: What would change with nominal channels?

New margins opened by nominal rigidities

► Terms of trade and exchange rates

- * Fragmentation shocks could operate through expenditure switching
- * Relative price adjustment may amplify or dampen real reallocations

► Heterogeneous monetary policy

- * Short- and medium-run real rates depend on inflation and policy rules
- * Interaction between monetary policy and the world interest rate

► Supply of nominal safe assets

- * Role of government bonds and currency denomination
- * Links to global demand for safe assets

Anticipation effects

Comment 2: What would change with nominal channels?

New margins opened by nominal rigidities

► Terms of trade and exchange rates

- * Fragmentation shocks could operate through expenditure switching
- * Relative price adjustment may amplify or dampen real reallocations

► Heterogeneous monetary policy

- * Short- and medium-run real rates depend on inflation and policy rules
- * Interaction between monetary policy and the world interest rate

► Supply of nominal safe assets

- * Role of government bonds and currency denomination
- * Links to global demand for safe assets

Anticipation effects  "Winds of Trade War" (Carrier, Mavromatis, Melosi & Rast, 2025)

Comment 2: What would change with nominal channels?

New margins opened by nominal rigidities

► Terms of trade and exchange rates

- * Fragmentation shocks could operate through expenditure switching
- * Relative price adjustment may amplify or dampen real reallocations

► Heterogeneous monetary policy

- * Short- and medium-run real rates depend on inflation and policy rules
- * Interaction between monetary policy and the world interest rate

► Supply of nominal safe assets

- * Role of government bonds and currency denomination
- * Links to global demand for safe assets

Anticipation effects "Winds of Trade War" (Carrier, Mavromatis, Melosi & Rast, 2025)

- Geo-political fragmentation likely operates also via **expectations**
- With nominal rigidities, the framework could capture:
 - * short-run anticipation effects,
 - * inflation expectations,
 - * exchange-rate responses

Minor comments

- a **Inelastic labor supply.** Hours worked are heterogeneous both within and across countries.

Minor comments

a **Inelastic labor supply.** Hours worked are heterogeneous both within and across countries.

Within: allowing labor supply responses would add a margin of self-insurance, potentially affecting consumption smoothing and welfare across the wealth distribution.

Minor comments

a **Inelastic labor supply.** Hours worked are heterogeneous both within and across countries.

Within: allowing labor supply responses would add a margin of self-insurance, potentially affecting consumption smoothing and welfare across the wealth distribution.

Across: differences in hours could affect the relative importance of labor versus capital income, potentially reshaping cross-country welfare comparisons.

Minor comments

a **Inelastic labor supply.** Hours worked are heterogeneous both within and across countries.

Within: allowing labor supply responses would add a margin of self-insurance, potentially affecting consumption smoothing and welfare across the wealth distribution.

Across: differences in hours could affect the relative importance of labor versus capital income, potentially reshaping cross-country welfare comparisons.

b **Factor shares and normalization.** With $Y_j = L_j = 1$ and a common world interest rate r , steady-state factor shares are not independently identified $\alpha_j = (r + \delta)K_j$. Hence labor income $w_j = (1 - \alpha_j)$ is partly pinned down by normalization. Clarifying this would be useful when interpreting cross-country differences in labor versus capital income and potential welfare implications.

Minor comments

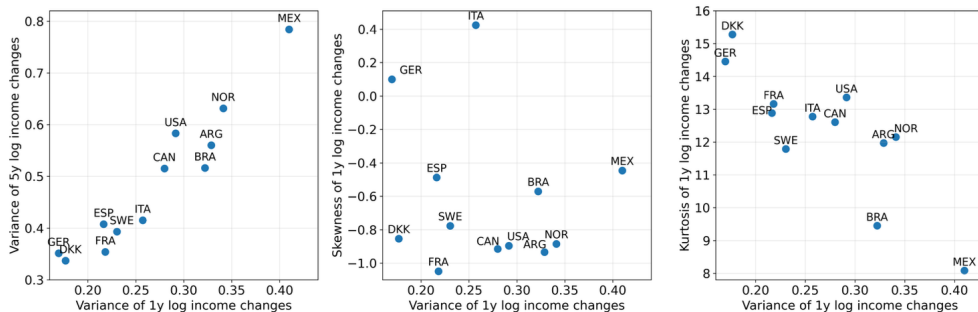
- a **Inelastic labor supply.** Hours worked are heterogeneous both within and across countries.
 - Within:** allowing labor supply responses would add a margin of self-insurance, potentially affecting consumption smoothing and welfare across the wealth distribution.
 - Across:** differences in hours could affect the relative importance of labor versus capital income, potentially reshaping cross-country welfare comparisons.
- b **Factor shares and normalization.** With $Y_j = L_j = 1$ and a common world interest rate r , steady-state factor shares are not independently identified $\alpha_j = (r + \delta)K_j$. Hence labor income $w_j = (1 - \alpha_j)$ is partly pinned down by normalization. Clarifying this would be useful when interpreting cross-country differences in labor versus capital income and potential welfare implications.
- c **Log utility and risk.** Given the central role of income risk and precautionary saving, the curvature of utility directly affects the strength of risk responses and welfare comparisons. It would be useful to show how sensitive the results are to higher risk aversion, especially given the emphasis on downside risk and higher-order moments.

References

- ▶ (2025) Bergholt, D., Furlanetto, F., & Mori, L. **Consumption inequality, household risks, and the business cycle**. Norges Bank.
- ▶ (2023) Bilbiie, F., Primiceri, G., & Tambalotti, A. **Inequality and Business Cycles**. NBER Working Paper No. 31729.
- ▶ (2025) Bilbiie, F., Galaasen, S., Gürkaynak, R., Maehlum, M., & Molnar, K. **HANKSSON**. CEPR Discussion Paper No. 20090.
- ▶ (2025) Carrier, G., Mavromatis, K., Melosi, L., & Rast, T. **Winds of Trade War**. Mimeo.

Figure 2: Income Risk Moments

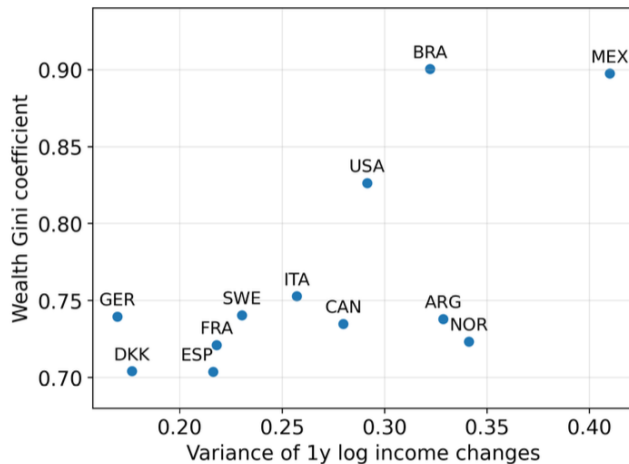
Figure 2: Income risk moments across countries



► Back

Figure 3a: Inequality and Volatility

(a) Wealth inequality vs. income risk



► Back